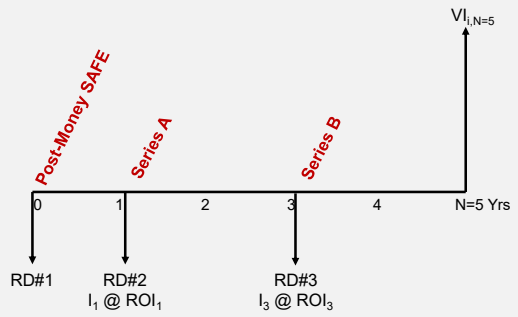
Multiple Investment Rounds
with a Post-Money SAFE



1

Post-Money SAFE

- Principal Amount of SAFE Investment
- Minimum Investment of Next Round Triggering Conversion
- Price/Shr Discount When Converting (None or 20% typ.)
- Post-Money Valuation Cap on Conversion
- Right to Purchase Next Round of Financing
- If Acquisition Prior to Next Round, Premium Over Principal
- Board Seat(s) Not Uncommon

2

Number & Price of Converted Shares

- Post-Money Valuation of the SAFE =
  (Pre-Money Valuation of Series A) x (1-Discount)

- $(\%\ \text{Acquired})_{SAFE} = \dfrac{(\text{Principal Amount of SAFE})}{(\text{Post-Money Valuation of SAFE})}$

  where the Post-Money Valuation of the SAFE in the denominator is the lesser of the Post-Money Valuation calculated above or the Post-Money Valuation Cap.

- # Shares Acquired $(S_{SAFE}) = \dfrac{\%_{Acquired}}{1-\%_{Acquired}}$ x (# Old Shares)

- Price per share $(P_{SAFE}) = = \dfrac{(\text{Principal Amount of SAFE})}{(S_{SAFE})}$

3

Example: Post-Money SAFE Seed Funding

Assume the Round #1 seed financing in the prior example is a Post-Money SAFE subject to the following terms:

- Principal: $500,000
- Minimum round to trigger conversion: $1,000,000
- Price discount on conversion: 20%
- Post-Money Valuation Cap: $6,500,000

As before, the Series A round occurs one year after the seed round, which is within the SAFE's 18-month expiration term. The Series A investment of $3,000,000 exceeds the $1,000,000 minimum therefore this will trigger conversion of the SAFE. The pre-money valuation of the Series A round is $6,355,000 as found before. The post-money valuation of the SAFE is then:

$$(\text{Post-Money Valuation})_{SAFE} = \$6{,}355{,}000 \times (1 - 0.20) = \$5{,}084{,}000$$

This value is less than the Post-Money Valuation Cap of the SAFE and, therefore, will be used in the calculations that follow.

The percent of the company acquired by the SAFE's investor at the time of conversion is then:

$$(\%_{Acquired})_{SAFE} = \frac{(\$500{,}000)}{(\$5{,}084{,}000)} = 9.84\%$$

The number of shares (S_{SAFE}) acquired by the note's investor at the time of conversion is then:

$$S_{SAFE} = \frac{0.0984}{1 - 0.0984} \times (1{,}000{,}000) = 109{,}078 \text{ shares}$$

And finally, the price per share (P_{SAFE}) acquired by the SAFE's investor is:

$$P_{SAFE} = \frac{\$500{,}000}{109{,}078 \text{ shrs}} = \$4.58/\text{share}$$

4

Series A & B Shares

$$\#\text{ Shares Purchased} = \frac{\%_{Acquired}}{(1 - \%_{Acquired})} \times (\#\text{ Old Shares})$$

Round	# New Shares Purchased	Price/Share
#1 (Seed)	109,078 shares by conversion	$4.58
#2 (Series A)	$\frac{0.3207}{1 - 0.3207} \times (1{,}000{,}000 + 109{,}078) = 523{,}576$ shares	$\frac{\$3{,}000{,}000}{523{,}576} = \$5.73$
#3 (Series B)	$\frac{0.0417}{1 - 0.0417} \times (1{,}000{,}000 + 109{,}078 + 523{,}576) =$ 70,985 shares	$\frac{\$1{,}000{,}000}{70{,}985} = \$14.09$

Note: The $5.73 Series A price found here is consistent with the SAFE shares price of $4.58 which is discounted 20% from the Series A price.

5

Terminal Price per Share

$$\text{Price per Share} = \frac{V_N}{\text{Total \# Shares Issued}}$$

$$\frac{\$37.5MM}{(1{,}000{,}000 + 109{,}078 + 523{,}576 + 70{,}985)shares} = \frac{\$37.5MM}{1{,}703{,}639\ shares} = \frac{\$22.01}{share}$$

As before, to check our work, we should confirm that the return on investment for each round does in fact equal our original targeted returns.

Round	ROI
#2 (Series A)	$(\$22.01 \div \$5.73)^{1/4}$-1 = **40% p.a.**
#3 (Series B)	$(\$22.01 \div \$14.09)^{1/2}$-1 = **25% p.a.**

The results above do, in fact, match the desired returns sought by our Series A and Series B investors.

$$\left(\frac{Terminal\ Distribution\ to\ Seed\ Investor}{Seed\ Investment}\right)^{1/5} - 1 = \left(\frac{\$22.01 \times 109{,}078\ shrs}{\$500{,}000}\right)^{1/5} - 1$$

$$= 36.9\%\ p.a.$$

6

EAS5450 – Class #14(a)

Negotiating Skills

EAS 5450
Engineering Entrepreneurship I

7

Long before negotiations begin…

Build relationships.

Be yourself

Authenticity builds trust.

8

Deals are negotiated in 2 steps

1. **Letter of Intent (Term Sheet)**
   - Address all key points
   - Especially vulnerabilities
2. **Legally Binding Agreement**

9

Critical to plan ahead

Write them down!

- **Know Your Position**
  - Objectives
  - "Must haves"
  - Bargaining points
  - "Walk away" values
- **Understand Theirs**
  - Objectives
  - Needs
  - Bargaining points
  - "Walk away" values

- **Anticipate issues and areas of conflict**
- **Practice, role play, simulate**

10

Best Alternative to a Negotiated Agreement

- Advantage: if the BATNA is attractive
- Problem: if there isn't one.

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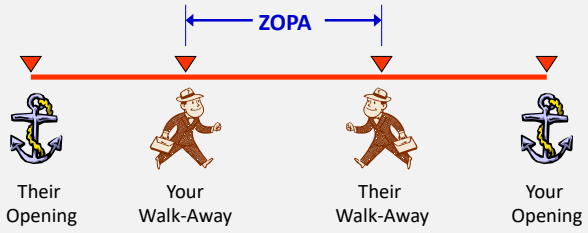
Zone of Potential Agreement



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Numbers

- Even when difficult to quantify, come up with a defensible value.

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Focus on closing the deal

- **Know your friends: build alliances of trust.**
- **Deal with your counterpart**
  - Be wary of trained negotiators.
  - Let lawyers deal with lawyers.
- **Ignore good cop/bad cop tactics.**
- **Ignore pressure tactics.**
- **Stay the course: use your emotional IQ**
  - Keep your cool.
  - Humor can be helpful and disarming.

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Open reasonably

- **Plant a defensible anchor.**
- **Don't be swayed by their anchor.**
  - Like you, they need points to concede.
  - Reacting to an extreme opening:
    - Don't discuss it.
    - Don't get anchored psychologically.
    - Quick counter.

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Negotiate to a Win-Win

- **Complex deals have many deal points:**
  - Add a few not critically important to you.
  - All parties can feel like winners.
- **Hold on to bargaining points until needed.**

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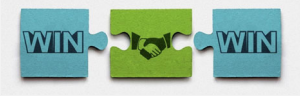
Why some deals get done faster than others…

- **Open reasonably close to ZOPA.**
- **Focus on important issues.**
- **Close involvement by principals**
  - …so lawyers don't run amok.
- **Focus on win-win**
  - …not zero-sum.



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Commitment Tactics – Be Careful

Not Recommended

- **Firm, credible, strong:**
  - Within ZOPA.
  - "We won't (can't) move from it."
- **Breaking gracefully:**
  - Add new issues.
  - Get new information.
  - Change negotiators.

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Exploit Differences

- **Uncertainty and risk perception:**
  - Do you have better information?
  - Risk aversion.
- **Time value of money.**
- **Anxiety about time**.

19

Understand the Whole Deal

- You or a trusted associate must:
  - Know the details.
  - Know the documents.
- **Don't leave it to the lawyers to protect you.**

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Closure (or otherwise)

- **In a complex deal, don't seek closure on all points.**
  - Bullet-proofing takes time and money (fees).
  - Defer irreconcilable differences.
  - Build trust around deferred issues.
- **Be patient and creative.**

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Get What We Need

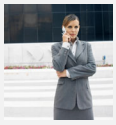
Remember your written list!

- Hold out for your “must haves.”
- Be prepared for an impasse.
- Be prepared for a breakdown in negotiations.

22

Rejection

- **Revising your offer on the spot undermines credibility.**
  - The power of SILENCE.
  - Have them explain their reasoning.
  - Reiterate your rationale.
- **Keep the door open:**
  - Adjourn
  - Caucus
  - Call home



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Document Control

If possible, have your lawyers control documentation

- Negotiation outcomes are often subject to interpretation.
- Avoids unexpected deletions, additions, revisions in new drafts.

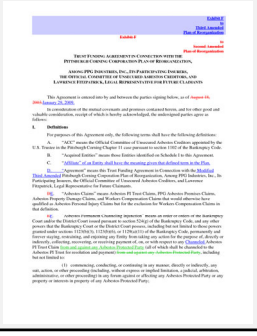

EXHIBIT F
to
Joint Amended
Plan of Reorganization

Exhibit F

Second Amended
Plan of Reorganization

TRUST FUNDING AGREEMENT IN CONNECTION WITH THE PITTSBURGH CORNING CORPORATION PLAN OF REORGANIZATION,

AMONG PPG INDUSTRIES, INC., ITS PARTICIPATING INSURERS, THE OFFICIAL COMMITTEE OF UNSECURED ASBESTOS CREDITORS, AND LAWRENCE FITZPATRICK, LEGAL REPRESENTATIVE FOR FUTURE CLAIMANTS

This Agreement is entered into by and between the parties signing below, as of August 19, 2003 January 28, 2004.

In consideration of the mutual covenants and promises contained herein, and for other good and valuable consideration, receipt of which is hereby acknowledged, the undersigned parties agree as follows:

I. **Definitions**

For purposes of this Agreement only, the following terms shall have the following definitions:

A. “ACC” means the Official Committee of Unsecured Asbestos Creditors appointed by the U.S. Trustee in the Pittsburgh Corning Chapter 11 case pursuant to section 1102 of the Bankruptcy Code.

B. “Acquired Entities” means those Entities identified on Schedule 1 to this Agreement.

C. “Affiliate” of an Entity shall have the meaning given that defined term in the Plan.

D. “Agreement” means this Trust Funding Agreement in Connection with the Modified Third Amended Pittsburgh Corning Corporation Plan of Reorganization, Among PPG Industries, Inc., Its Participating Insurers, the Official Committee of Unsecured Asbestos Creditors, and Lawrence Fitzpatrick, Legal Representative for Future Claimants.

HG. “Asbestos Claims” means Asbestos PI Trust Claims, PPG Asbestos Premises Claims, Asbestos Property Damage Claims, and Workers Compensation Claims that would otherwise have qualified as Asbestos Personal Injury Claims but for the exclusion for Workers Compensation Claims in that definition.

II. *Asbestos Permanent Channeling injunction* means an order or orders of the bankruptcy Court and/or the District Court issued pursuant to section 524(g) of the Bankruptcy Code, and any other power that the Bankruptcy Court or the District Court possess, including but not limited to those powers granted under sections 1123(b)(3) and 363(b)(1) of the Bankruptcy Code, authorizing and directing, and requiring, establishing and operating any Entity, including the Asbestos PI Trust, to pay all Asbestos PI Trust Claims from and against any Asbestos Protected Party, all or, to the extent permitted by the Asbestos PI Trust Claim from and against any Asbestos Protected Party, all of which shall be channeled to the Asbestos PI Trust for resolution and payment from and against any Asbestos Protected Party, including but not limited to:

(a) enjoining, commencing, conducting, or continuing in any manner, directly or indirectly, any suit, action, or other proceeding (including, without express or implied limitation, a judicial, arbitration, administrative, or other proceeding) in any forum against or affecting any Asbestos Protected Party or any property or interest in property of any Asbestos Protected Party;

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Living With the Deal

- Build trust during the negotiations.
- Strengthen alliances.
- Strive for a win-win deal.

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Negotiating: Equity Sale & $320,000,000 Bond Issue

- Reading Energy Company
- Foster Wheeler Corporation
- Village of Robbins, Illinois
- Underwriter: Smith Barney, Inc.
- Numerous law firms

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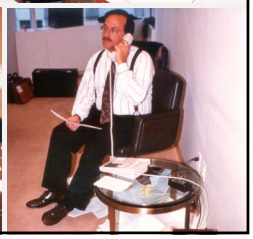
2 months in Manhattan negotiating countless deal points…



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Closing the final deal points…

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Signing documents..

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NEW ISSUE/BOOK-ENTRY-ONLY

$320,000,000

Village of Robbins, Cook County, Illinois

Resource Recovery Revenue Bonds

(Robbins Resource Recovery Partners, L.P. Project)

$234,800,000 Series 1994A $85,200,000 Series 1994B

Dated: November 1, 1994 Due: As shown below

The proceeds of the bonds offered hereby (the "1994A and B Bonds") will finance a portion of the costs of a project (the "Project") which includes an approximately 11.5 [illegible] municipal solid waste-to-energy facility (the "Facility"). The Facility will be constructed and operated by an indirect, wholly owned subsidiary of Foster Wheeler Corporation. See "THE PROJECT."

The 1994A and B Bonds will be issued by, and will be special limited revenue obligations of, the Village of Robbins, Cook County, Illinois (the "Issuer") pursuant to a Mortgage, Security Agreement and Assignment of Rents (the "Mortgage") between the Issuer and Bank One, Trust Company, N.A. (the "Trustee"). The principal of, premium, if any, and interest on the 1994A and B Bonds will be payable from, and will be secured by, the Trust Estate to the extent provided in the Indenture. The Trust Estate is expected to consist primarily of revenues from the sale of electricity and waste disposal fees paid by waste suppliers. [illegible] See "SECURITY AND SOURCES OF PAYMENT FOR THE BONDS."

Interest on the 1994A and B Bonds will be payable on each April 15 and October 15, commencing April 15, 1995, and at maturity or earlier redemption. The 1994A and B Bonds will be subject to mandatory, serial and extraordinary redemption prior to maturity at the prices, on the terms and on the dates set forth herein. The 1994A and B Bonds will be issued in fully registered form in authorized denominations of $5,000 and integral multiples of $5,000 in excess thereof and [illegible] in the name of Cede & Co., as nominee of The Depository Trust Company ("DTC"), and purchasers will not receive certificates representing their ownership interests in the 1994A and B Bonds. Ownership interests in the 1994A and B Bonds will be shown on, and transfers thereof will be effected only through, records maintained by DTC and its participants. See "DESCRIPTION OF THE BONDS."

INVESTMENT IN THE 1994A AND B BONDS INVOLVES A SIGNIFICANT DEGREE OF RISK. SEE "CERTAIN INVESTMENT CONSIDERATIONS AND RISK FACTORS." THE 1994A AND B BONDS HAVE NOT BEEN RATED BY ANY CREDIT RATING AGENCY.

$ 10,000,000 1994B Series 1994A Term Bonds Due October 15, 2005
$234,800,000 1994B Series 1994A Term Bonds Due October 15, 2014
$ 85,200,000 1994B Series 1994B Term Bonds Due October 15, 2019
Price: 100%

(Plus accrued interest from November 1, 1994)

THIS COVER PAGE CONTAINS INFORMATION FOR QUICK REFERENCE ONLY AND IS NOT A SUMMARY OF THE ISSUE. SEE "NOTICE TO INVESTORS."

Subject to compliance by the Issuer and Robbins Resource Recovery Partners, L.P. (the "Partnership") with certain covenants, in the opinion of Chapman and Cutler, Chicago, Illinois, Bond Counsel, under present law interest on the 1994A and B Bonds is not includable in gross income of the owners thereof for federal income tax purposes, except for interest on any 1994A Bond or 1994B Bond for any period during which any 1994A Bond or 1994B Bond is owned by a person who is a substantial user of the facilities to which the 1994A Bond or 1994B Bond relates or a related person within the meaning of Section 147(a) of the Internal Revenue Code of 1986, as amended, but is taken into account in computing the alternative minimum tax for individuals and corporations. Interest on the 1994A and B Bonds is not exempt from Illinois income taxes. See "TAX EXEMPTION" herein.

THE 1994A AND B BONDS AND ALL OBLIGATIONS OF THE ISSUER THEREUNDER ARE SPECIAL LIMITED REVENUE OBLIGATIONS OF THE ISSUER PAYABLE SOLELY FROM THE TRUST ESTATE PLEDGED TO THE TRUSTEE UNDER THE INDENTURE AND THE MORTGAGE. THE 1994A AND B BONDS TOGETHER WITH THE 1994A AND B BONDS DO NOT CONSTITUTE AN INDEBTEDNESS OF THE ISSUER OR A LOAN OF THE CREDIT THEREOF WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY PROVISION. NO OWNER OF ANY 1994A BOND OR 1994B BOND HAS THE RIGHT TO COMPEL THE EXERCISE OF THE TAXING POWER OF THE ISSUER OR THE FORFEITURE OF ANY OFFICE UNDER THE LAWS OF THE STATE OF ILLINOIS OR THE LIABILITY OR OBLIGATION OF THE ISSUER (EXCEPT TO THE EXTENT PAYABLE FROM THE TRUST ESTATE) OR OF THE STATE OF ILLINOIS OR OF ANY POLITICAL SUBDIVISION THEREOF, OR A PLEDGE OF THE FAITH AND CREDIT OF THE ISSUER, OR OF THE STATE OF ILLINOIS OR ANY POLITICAL SUBDIVISION THEREOF.

The 1994A and B Bonds are offered when, as and if issued by the Issuer and accepted by the Underwriter, subject to the approval of legality by Chapman and Cutler, Chicago, Illinois, Bond Counsel, and to certain other conditions. Certain legal matters will be passed upon for the Issuer by Mahoney & Sachs, Chicago, Illinois, for the Partnership by Winston & Strawn, Chicago, Illinois, Rose & Stanley, Chicago, Illinois and Jordan Lawrence Young, Highlands Ranch, Colorado, for the Owner, Florida, general counsel to the Partnership, and by Wolff & Samson, Roseland, New Jersey and Piper & Marbury, Baltimore, Maryland, Partnership counsel, and for the Underwriter by Gibbons, Del Deo, Dolan & Griffinger, P.C., New York, New York. It is expected that delivery of the 1994A and B Bonds through the facilities of DTC will be made on or about November 15, 1994 in New York, New York.

Smith Barney Inc.

November 11, 1994

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